

Medicare Plan Selection Tool

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Medicare Plan Selection Tool Overview

- Tens of millions of people in the U.S. have Medicare as their source of health insurance and 11,000 more turn 65 every day and become eligible for Medicare. In addition, people under 65 who have certain chronic diseases are eligible for Medicare based on their medical condition.
- Medicare is available in two ways. One is **Original Medicare** and has been available since Medicare's inception in 1965. Many people with Original Medicare also purchase a supplemental policy commonly known as Medigap from a private insurance carrier to cover some expenses not covered by Original Medicare. There are several types of Medigap policies available depending on each person's needs. These policies are standard meaning they are the same regardless of which insurance company provides them. People on Original Medicare also need to purchase a separate drug plan for their medications.
- The second option is to get a **Medicare Advantage** plan. These are plans provided by insurance companies and cover the same basic benefits as Original Medicare plus various additional benefits. Most of these plans have no monthly premium or a low premium but also have requirements regarding choice of hospitals, physicians, and other providers, have deductibles and co-insurance when services are needed, and have some restrictions such as medical management. These plans have been widely advertised by the insurance companies without recognition of issues that may found out later.
- No matter which option above is chosen, it is most common to also enroll in Medicare Part B which covers out-patient and physician coverage. These premiums are automatically deducted from Social Security on a monthly basis. Not utilizing Plan B would leave the person with significant risk.

Original Medicare vs. Medicare Advantage Coverage

Original Medicare

Medicare Part A (free, standard)	Medicare Part B (standard option, SS payments)	Drug Plan Part D (standard option, pick a plan)	Medigap (option, pick a plan)
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- Coverage defined by government and Medigap option
- Can go to any almost any provider without referral
- Completely predictable out of pocket spending no matter how much care you need

Int'l Travel
Insurance

Recommended

Medicare Advantage

Medicare Advantage (Part C) (private companies paid by government, pick a plan)		
Part A	Part B	Drug Plan

- Meet min standards of government
- Providers limited to networks
- Less predictable out of pocket spending, up to max, higher as you need more care
- Additional benefit options

Dental

Hearing

Vision

Others

Int'l Travel
Insurance

Recommended

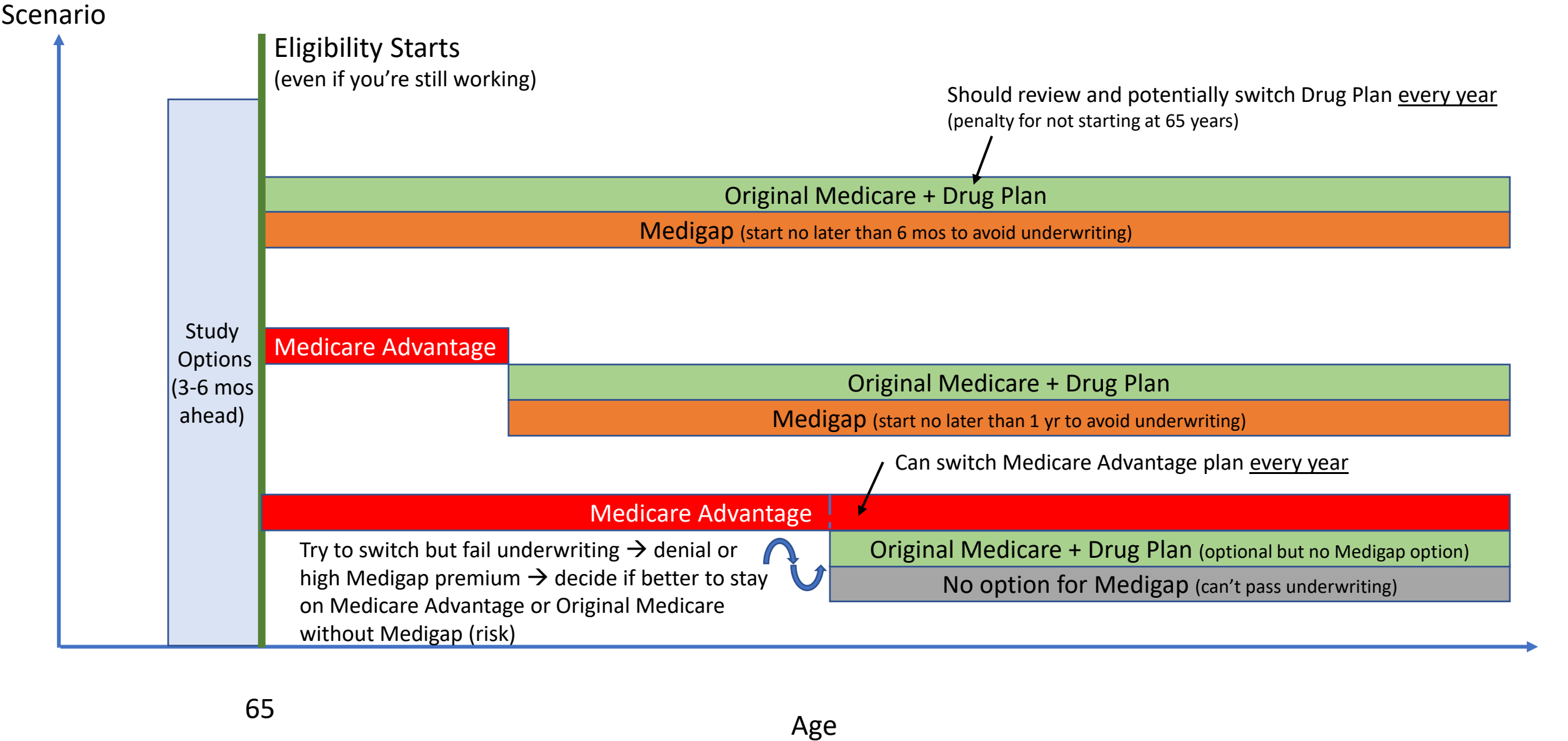
Medicare Advantage Funding

- Government pays private Medicare Advantage companies a fixed amount per month for each subscriber (i.e. \$1000-6000) 💧
- Total Annual Revenue example \$87,600,000,000
 - 2021 United Healthcare/AARP
 - 7.3 million people
- This is how they can offer no premiums
- Private companies' goals are to maximize profits
- Profit achieved by controlling spending on patients
- Total cost to government is higher per person with Medicare Advantage than Original Medicare



Decision Timeline

Original Medicare
Medicare Advantage



Medicare Plan Selection Tool Overview

- The question is which is better. There are pros and cons to both. The question is simple, but the answer is complicated and depends on several factors which are unique to each person and which should be considered when a decision is being made.
- This tool was developed to bring attention to the key factors for people to consider before deciding which type is best for them. The factors take into consideration things like age, quality of current health, family health history, importance of being able to choose providers, travel habits and tolerance for unexpected health care costs. Another important factor is the ability to change plans if circumstances change. The results after evaluating these factors are intended to provide guidance on which type plan is most suitable. It does not recommend specific companies or plans but rather provides a guide on where to start looking and what questions to ask. We always suggest consulting with a specialist familiar with the local medical resources who sells a variety of both Medigap and Medicare Advantage plans. There is no cost when working with a consultant who sells these plans.

The problem with selecting the right plan

- People who become Medicare eligible do not have a clear method of comparing the options to find what's best for them since most sources are selling one or the other (typically pushing Medicare Advantage)
- There are many tv commercials for Medicare Advantage plans implying their superiority (\$0 premiums and additional benefits) but do not compare total actual spending (co-pays, in-patient care) with higher maximum spending
- There is no clear method to find unbiased local Medicare specialists who sell both or neither

What is needed to help people select the right plan

- People need an easy-to-use and objective tool or a method to be able to find what's best for them now as they enter Medicare and then year after year as their situations change
- Guide people through their situations and how they pertain to selecting the right plan
- Giving people guidance to the next steps

Proposed Solutions

- Create a website (and likely smartphone app) to ask people a series of targeted questions to create directional guidance on the best choice for them
- Ensure that the guidance is not and is not perceived as driven by profit motive to sell one plan or the other
- It is not
 - A sales tool to push people one way or the other
 - A tool to find and sign up for specific plans within Medicare or Medicare Advantage

Example of Website

- Walk people through a series of questions about their situation
- Background calculations will convert answers into a weighted 0 to 100 number
- This weighting is the key know-how of the tool (Patent Pending)
- This number will be graphed and explained to show if it is suggested that the person would better served enrolling in Medicare+Medigap+Drug Plan or Medicare Advantage
- The output can be emailed or printed if desired
- A suitable disclaimer would ensure that it's clearly directional and not binding
- Next steps can be shown for how to find the best plan once the direction is set
- Reminders can be set for up-coming surgeries or other changes that might impact subsequent years' plans
- Fine-tuning of the weighting would take place after a number of people have used the tool and provided feedback

Help me Choose the Best Plan

Form Setting

Answer the questions below to allow us to provide feedback

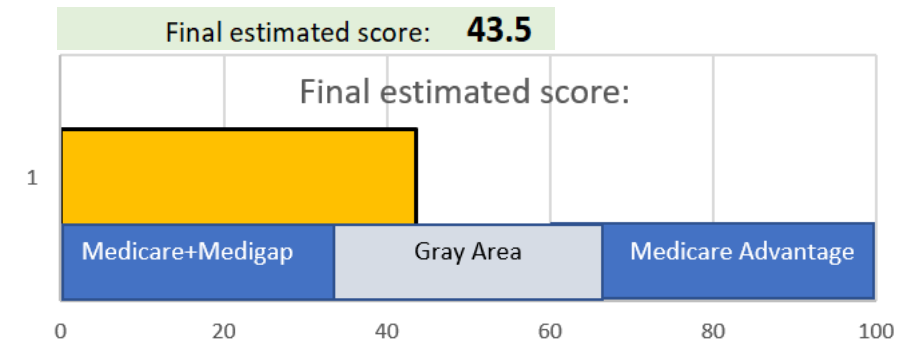
What is your Age? *

How is your General Health? *

Do you have any Chronic Health Conditions? *

Do you have or have you had cancer? *

Submit

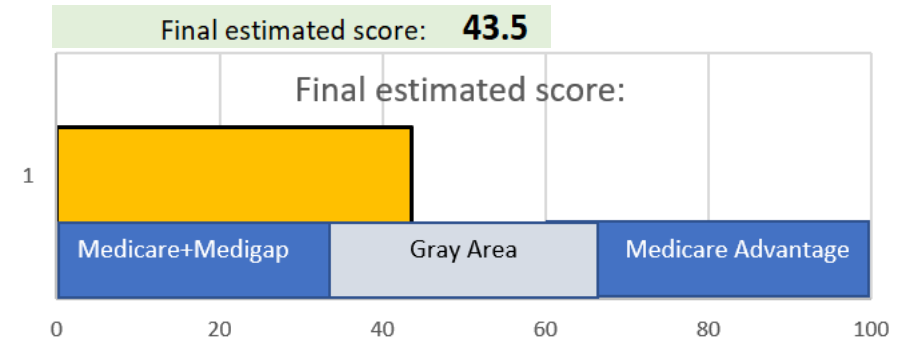


Proposed Website Questions

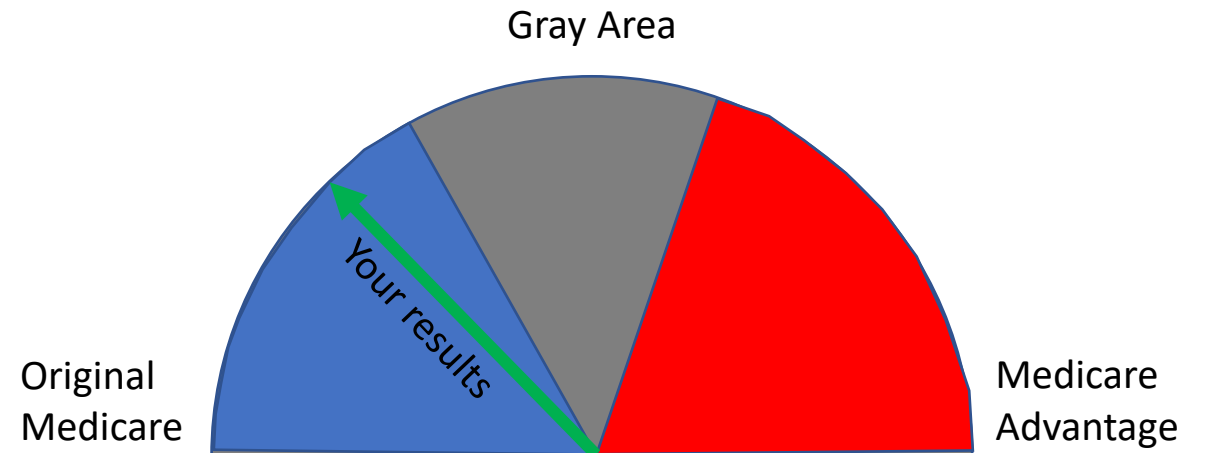
	User Inputs	1	2	3	4	5
What is your Age?		65-69	70-79	80-89	90-over	
Health Status:						
How is your General Health?		Excellent	Good	Fair	Poor	
Do you have Chronic Health Conditions?		None	Minor	Major		
Do you have or have you had Cancer?		Never	Minor-removed	Minor-still	Major-removed	Major-still have it
Is there a history of serious medical issues in your biological family?		None/Don't Know	Minor	Major		
Do you need Durable Medical Equipment ? (such as wheelchair, oxygen, C-Pap)		No	Yes-low-cost	Yes-expensive		
Have you recently been an in-patient in a Rehab Facility?		Never	Recently-minor	Recently-major	Yes-still in Rehab	
How is your use of Prescription Medications?		Don't take any meds on regular basis	Take few meds on regular basis	Take several meds on regular basis	Take several meds including some high cost specialty drugs	
Do you have Expected Domestic Travel during the year?		Expect no travel out of area	Expect little travel out of area	Expect some travel out of area	Expect significant travel out of area such as seasonal vacations	
Importance of other factors:						
What is the Importance of Consistent Out-of-Pocket Spending Per Month?		Lower monthly cost with possibility of high unexpected out-of-pocket spending (up to a maximum)	Middle monthly cost with some unexpected out-of-pocket costs	Consistent monthly cost with almost complete coverage for unexpected events or expected event coming within a year (i.e. peace of mind)		
What importance is the Ability to Choose Specific Primary Care Doctor or Clinic?		Not important	Slightly important	Moderately important	Highly important	Very highly important
What is the importance of the Ability to Choose Specific Specialist and/or Referral Hospital (such as MD Anderson, Mayo Clinic)?		Not important	Slightly important	Moderately important	Highly important	Very highly important
What is the importance of the Ability to go to Specialist without Going to Primary Care Doctor First?		Not important	Slightly important	Moderately important	Highly important	Very highly important
What is the importance of having a plan that includes additional benefits such as dental, hearing and transportation that are not covered by Original Medicare?		Not important	Slightly important	Moderately important	Highly important	Very highly important

Example of Output of Website

- The results are for your current situation based on your inputs
- Utilizing this website is most important for your first year of Medicare enrollment since changing after the first year it is harder to switch between types of plans
- It is recommended to talk to a local Medicare specialist who sells both Medigap and Medicare Advantage before making your final decision. This consultation does not cost anything. Your situation might be unique.
- In most states resources are available for assistance (SHIP, SHIP). You might also be eligible for other programs such as Medicaid which can coordinate with Medicare.
- Your situation can change at any time (age, health condition, financial stability, anticipated up-coming procedures, living location) so your score will change over time and should be reviewed at least annually



OR



How to find your local Medicare specialist

- There is no clearing house list of all local agents that sell both Medicare Supplement (Medigap) and Medicare Advantage plans
- Agents sell a limited number of plans (agents rarely if ever can sell all plans)
- Large insurance companies will sell both types of plans but only their plans (Blue Cross/Blue Shield, AARP/UnitedHealthcare)
- Basic Google searches often lead to Medicare Advantage specialists
- American Association for Medicare Supplement Insurance, search for your zip code, find an agent that sell both Medicare Supplement (Medigap) and Medicare Advantage (agents pay to be listed, not all local agents are listed)

Next Steps

- Fine-tune questions with updated weighting
- Write disclaimers
- Add optional automatic next-year reminders into tool, use subscription
- Align on release plan (Medicare.gov, private company such as Integrity Marketing, Schmieding Center Foundation, on our own for free, on our own as a for-profit company, other?)
- Create website (need investment due to complexity of calculations)
- Publish website with domain (need investment)
- Create and maintain list of local agents?
- Create and maintain long-term plan for messaging to people, maintaining website, tracking user feedback to fine-tune output
- Potentially expand tool to help choose MediGap+

Backup

References

- Medicare.gov
- Medicare & You handbook sent out every year
- AARP.com
- SHIP/SHIIP
 - <https://www.shiipar.com/>
- <https://medicaresupp.org/agents/>

Compare Original Medicare & Medicare Advantage

(According to Medicare.gov)

Consider these things when deciding between Original Medicare and a Medicare Advantage Plan for your health coverage:



Doctor & hospital choice

Original Medicare:	Medicare Advantage:
You can go to any doctor or hospital that takes Medicare, anywhere in the U.S.	In most cases, you can only use doctors and other providers who are in the plan’s network and service area (for non-emergency care).
In most cases you don’t need a <u>referral</u> to see a specialist.	You may need to get a referral to see a specialist.

- <https://www.medicare.gov/basics/get-started-with-medicare/get-more-coverage/your-coverage-options/compare-original-medicare-medicare-advantage>

Compare Original Medicare & Medicare Advantage

Consider these things when deciding between Original Medicare and a Medicare Advantage Plan for your health coverage:

 Coverage

Original Medicare:	Medicare Advantage:
Original Medicare covers most medically necessary services and supplies in hospitals, doctors’ offices, and other health care facilities. Original Medicare doesn’t cover some benefits like eye exams, most dental care, and routine exams.	Plans must cover all medically necessary services that Original Medicare covers. Plans may also offer some extra benefits that Original Medicare doesn't cover – like vision, hearing, and dental services.
You can join a separate Medicare drug plan to get Medicare drug coverage (Part D).	Medicare drug coverage (Part D) is included in most plans. In most types of Medicare Advantage Plans, you can't join a separate Medicare drug plan.
In most cases, you don’t have to get a service or supply approved ahead of time for Original Medicare to cover it.	In many cases, you have to get a service or supply approved ahead of time for the plan to cover it.

Compare Original Medicare & Medicare Advantage

Consider these things when deciding between Original Medicare and a Medicare Advantage Plan for your health coverage:

 Foreign travel

Original Medicare:	Medicare Advantage:
Original Medicare generally doesn't cover medical care outside the U.S. You may be able to buy a Medicare Supplement Insurance (Medigap) policy that covers emergency care outside the U.S.	Plans generally don't cover medical care outside the U.S. Some plans may offer a supplemental benefit that covers emergency and urgently needed services when traveling outside the U.S.

Compare Original Medicare & Medicare Advantage

Consider these things when deciding between Original Medicare and a Medicare Advantage Plan for your health coverage:



Cost

Original Medicare:	Medicare Advantage:
For Part B–covered services, you usually pay 20% of the Medicare-approved amount after you meet your <u>deductible</u> . This amount is called your <u>coinsurance</u> .	Out-of-pocket costs vary – plans may have lower or higher out-of-pocket costs for certain services.
You pay a premium (monthly payment) for Part B . If you choose to join a Medicare drug plan, you’ll pay a separate premium for your <u>Medicare drug coverage (Part D)</u> .	You pay the monthly Part B premium and may also have to pay the plan’s premium . Some plans may have a \$0 premium and may help pay all or part of your Part B premium. Most plans include Medicare drug coverage (Part D).
There’s no yearly limit on what you pay out-of-pocket, unless you have supplemental coverage – like <u>Medicare Supplement Insurance (Medigap)</u> .	Plans have a yearly limit on what you pay out of pocket for services <u>Medicare Part A and Part B</u> cover. Once you reach your plan’s limit, you’ll pay nothing for services Part A and Part B covers for the rest of the year.
You can get Medigap to help pay your remaining out-of-pocket costs (like your 20% coinsurance). Or, you can use coverage from a former employer or union, or Medicaid.	You can’t buy and don’t need Medigap.